Northline Industrial Property Portfolio

Ten light industrial and warehouse assets bought for $15.00M and financed with a 60% senior facility. Every figure in this summary traces back to the asset schedule on page 2.

PROPERTIES
10
Light industrial and warehouse

FLOOR AREA
206,000
Square feet

OCCUPANCY
95.5%
Weighted by floor area

PURCHASE PRICE
$15,000,000
$72.82 per sq ft

ANNUAL NOI
$1,050,000
Before debt service

CAP RATE
7.00%
NOI divided by price

Capital structure

Total project cost of $16,000,000, including $500,000 of transaction costs and $500,000 of initial reserves.



60% of total cost 40%

DEBT SERVICE
$672,000
7.00%, interest only

DSCR
1.56x
Covenant 1.30x

DEBT YIELD
10.9%
NOI over facility

LOAN TO VALUE
64%
Facility over price

In this summary

01 **Asset schedule**
All ten assets with area, occupancy, lease expiry, price, NOI and cap rate. Page 2.

02 **Sources, uses and coverage**
How the $16.00M is funded and how far NOI could fall before the covenant. Page 3.

03 **Lease expiry and review**
When income comes up for renewal, and the order to check the pack in. Page 4.

Asset schedule

Price in USD millions. NOI is annual, in USD thousands, before debt service. Occupancy is by floor area.

ID	Asset	Area sq ft	Occupied	Lease expiry	Price $M	NOI $K	Cap rate	Share of NOI
NL-01	Northgate Light industrial	18,000	95%	2030	1.20	86	7.17%	8.2%
NL-02	Riverbend Distribution warehouse	21,000	100%	2032	1.40	95	6.79%	9.0%
NL-03	Eastpoint Multi-let industrial	24,000	92%	2029	1.80	131	7.28%	12.5%
NL-04	Foundry Light industrial	17,000	100%	2031	1.10	74	6.73%	7.0%
NL-05	Lakeside Warehouse	20,000	95%	2033	1.50	108	7.20%	10.3%
NL-06	Parkway Multi-let industrial	26,000	90%	2028	2.00	146	7.30%	13.9%
NL-07	Westfield Warehouse	16,000	100%	2032	1.00	68	6.80%	6.5%
NL-08	Crossroads Distribution warehouse	23,000	94%	2030	1.70	117	6.88%	11.1%
NL-09	Highland Light industrial	19,000	100%	2031	1.30	88	6.77%	8.4%
NL-10	Southport Multi-let industrial	22,000	93%	2029	2.00	137	6.85%	13.0%
	Portfolio	**206,000**	**95.5%**		**15.00**	**1,050**	**7.00%**	**100.0%**

How the totals are built

Area, price and NOI are simple sums of the ten rows. Occupancy is weighted by floor area, so a vacant unit in a large building counts for more. The portfolio cap rate is total NOI divided by total price, not an average of the ten cap rates.

What stands out

Cap rates run from 6.7% to 7.3%. The two oldest multi-let buildings, Parkway and Eastpoint, carry the highest cap rates and the earliest lease expiries. Four single-tenant assets are fully let.

Sources, uses and coverage

SOURCES	USD M	SHARE
Senior facility	9.60	60%
Sponsor equity	6.40	40%
Total sources	**16.00**	**100%**

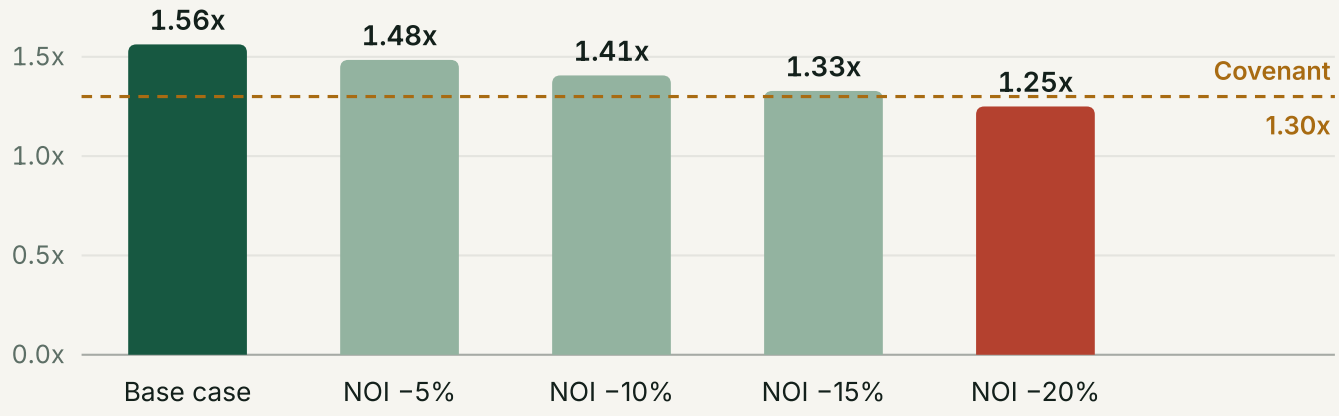
USES	USD M	SHARE
Purchase price	15.00	93.8%
Transaction costs	0.50	3.1%
Initial reserves	0.50	3.1%
Total uses	**16.00**	**100%**

Key ratios

Debt service	**$672,000**	$9.60M at 7.00%, interest only.
DSCR	**1.56x**	Annual NOI of $1,050,000 divided by debt service.
Debt yield	**10.9%**	Annual NOI divided by the facility.
Loan to cost	**60%**	Facility divided by total project cost of $16.00M.
Loan to value	**64%**	Facility divided by purchase price of $15.00M.
Cap rate	**7.00%**	Annual NOI divided by purchase price, before financing.

Coverage if income falls

Interest-only DSCR at lower levels of NOI. Debt service stays at $672,000.

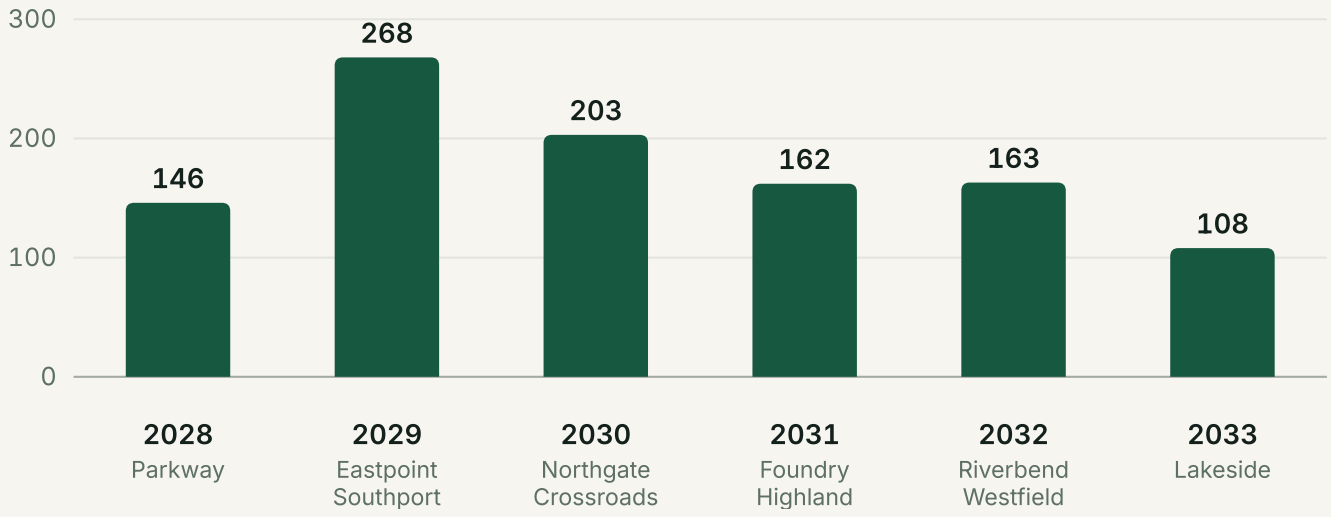


NOI could fall 16.8%, to $873,600, before coverage reaches the 1.30x covenant.

Lease expiry and review

NOI by lease expiry year

Annual NOI in USD thousands, grouped by the year each asset's main lease ends. Totals 1,050.



The largest single year is 2029, when 26% of NOI comes up for renewal. Nothing expires before 2028.

How to review this pack

01 **Check the asset IDs**
Every page uses NL-01 to NL-10.

02 **Reconcile the totals**
Schedule sums match pages 1 and 3.

03 **Test the ratios**
Recalculate DSCR, LTC and LTV.

04 **Read the term sheet**
Terms match the figures here.

The financing pack

Property deck Portfolio, capital structure and ten asset profiles	15 slides
Financing summary This document	4 pages
Term sheet Indicative senior facility terms	1 page

The portfolio, its assets and all figures are fictional. Illustrations are original.